The early 2000s also saw a remarkable revival of India's relations with China. A base had been created with the bilateral agreements of 1993 and 1996 on maintaining peace and tranquillity in the border areas, with the understanding that bilateral cooperation could be developed in parallel with efforts to resolve differences over the boundary. A significant advance was made in June 2003, when the two countries appointed special representatives to discuss a resolution of boundary differences in the larger political perspective of the bilateral relationship and to report on their deliberations directly to the respective leaders. By 2005, the special representatives reached agreement on political parameters to guide the border delineation. Of importance to India was the provision that the two sides "shall safeguard due interests of their settled populations in the border areas."[14] These breakthroughs triggered a rapid growth in bilateral trade, investment, cultural, and educational exchanges, with China soon becoming India's largest trade partner in goods and a significant investor in sectors including construction, consumer electronics, telecommunications, and e-commerce. Besides China's interest in economic opportunities in India, this progress appears to have been encouraged by China's assessment of the rapidly developing India–US partnership and its effort to offer an alternative partnership to India.

Russia also monitored the upswing in the political and defence cooperation between India and the United States, even as its own relations with the United States were deteriorating. In particular, the intensification of India–US defence cooperation diluted Russia's near-monopoly of India's military acquisitions. But as long as relations between the United States and Russia were reasonably functional, India managed both these relations reasonably harmoniously. The acrimonious breakdown of US–Russia